HAREL INSURANCE & FINANCE · CLOUD INFRASTRUCTURE, DEVOPS & DATABASES

Cloud Cost Summary

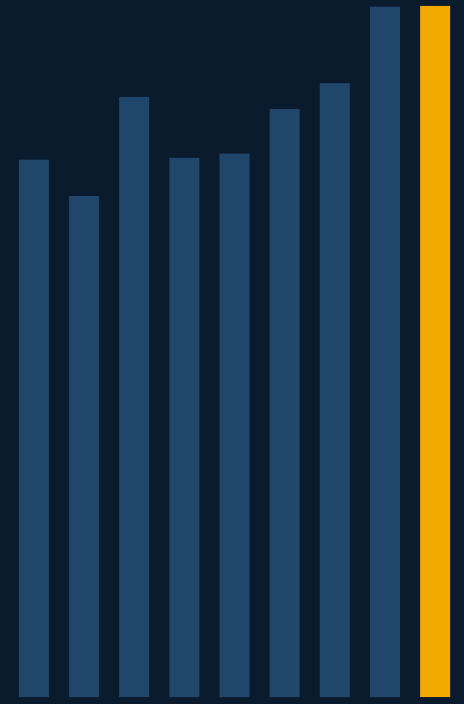
FY2026 · January – September

מחלקת תשתיות ענן, DevOps ובסיסי נתונים · אגף טכנולוגיות והגנת הסייבר

$4.67M
Total cloud, YTD

$578K
Savings delivered

34%
Of September spend is AI



MONTHLY CLOUD CONSUMPTION

Jan → Sep 2026

September 2026

HAREL Insurance & Finance

THE BOTTOM LINE

Spend is up 22%, but every dollar of growth is AI

TOTAL CLOUD YTD

$4.67M

Consumption $2.31M
Committed $2.36M

CONSUMPTION RUN-RATE

+22%

Q1 avg $238K/mo →
Q3 avg $290K/mo

TRADITIONAL ESTATE

–13%

Non-AI spend fell
Q1 → Q3

SAVINGS DELIVERED

$578K

Realised $268K
Avoided $310K

THREE THINGS TO TAKE AWAY

1. **AI went from $9K to $102K a month**

   An 11× rise in nine months. At the September run-rate that is $1.22M a year — now 34% of all cloud consumption.

2. **The classic estate is shrinking**

   Strip out AI and spend is down 13% Q1 to Q3. Rightsizing, RI purchases and the North Europe exit are landing.

3. **Two decisions are needed now**

   The Databricks commitment is 29% used, and Azure raises prices in February 2027. Both hit the 2027 budget.

AGENDA

What we will cover

01 **Where the money goes**

Total spend, run-rate and the consumption vs. commitment split

02 **AI & the Factory**

The fastest-growing line: Bedrock, Foundry, Copilot and the AI Factory

03 **AWS**

$2.61M — accounts, services and Marketplace contracts

04 **Azure**

$2.05M — cost centres, services, Databricks and coverage

05 **Savings delivered**

$578K realised and avoided, plus a $190K pipeline

06 **Risks & next steps**

Azure 2027 pricing, Databricks utilisation and the FinOps roadmap

Detailed cost-centre and project breakdowns are in the appendix.

01

Where the money goes

Total spend, run-rate, and the split between what we consume and what we commit to up front.

TOTAL CLOUD SPEND

Harel spent $4.67M on cloud in the first nine months of FY2026

AMAZON WEB SERVICES

$2.61M

Consumption $792K · Marketplace $1.82M

MICROSOFT AZURE

$2.05M

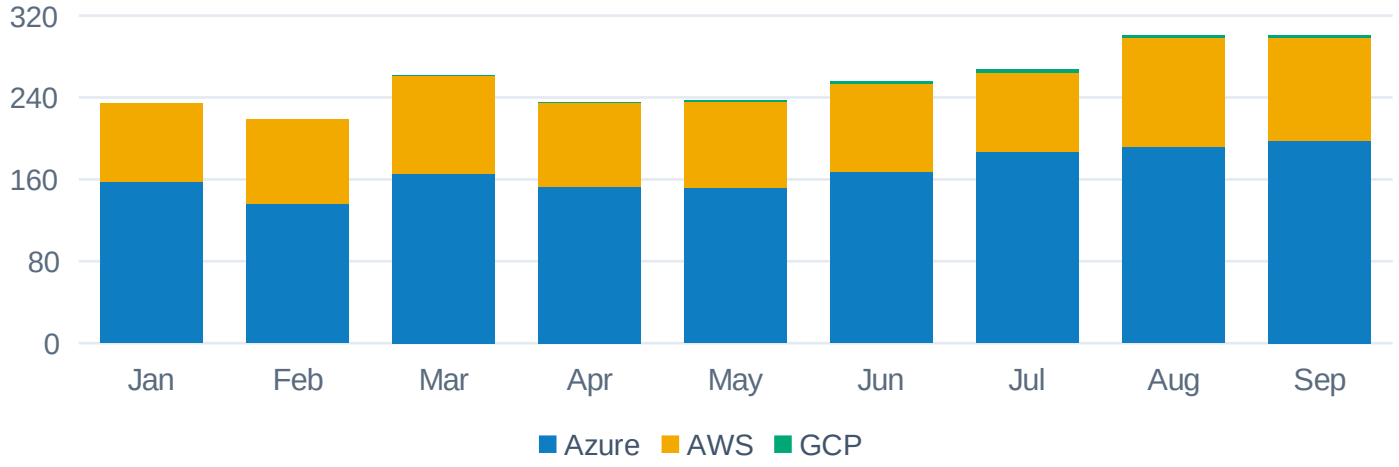
Consumption $1.51M · Marketplace $542K

GOOGLE CLOUD

$14K

New in March 2026 · Vertex AI pilot

Monthly consumption by provider ($K)



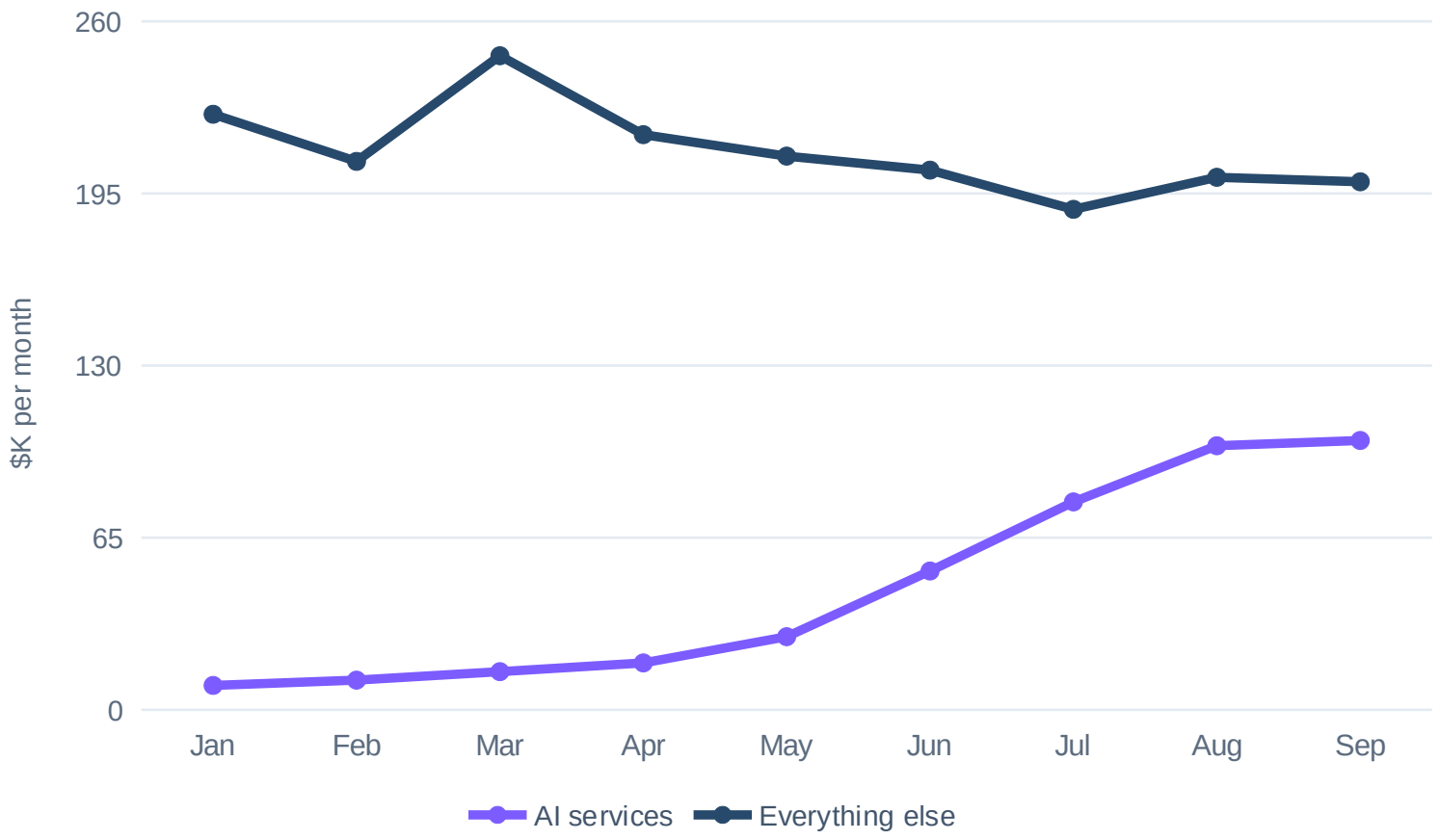
How to read this

- **Consumption**
  $2.31M — the metered bill we can optimise month to month.
- **Committed**
  $2.36M — Marketplace and prepaid contracts, billed in lumps.
- **The trend**
  September was the highest consumption month of the year.

Consumption excludes Marketplace charges. AWS is billed across two payer accounts.

RUN-RATE

All of the growth is AI — the traditional estate is shrinking



AI SERVICES

+703%

Q1 avg $12K/mo → Q3 avg $93K/mo

EVERYTHING ELSE

–13%

Q1 avg $226K/mo → Q3 avg $196K/mo

AI ANNUALISED

$1.22M

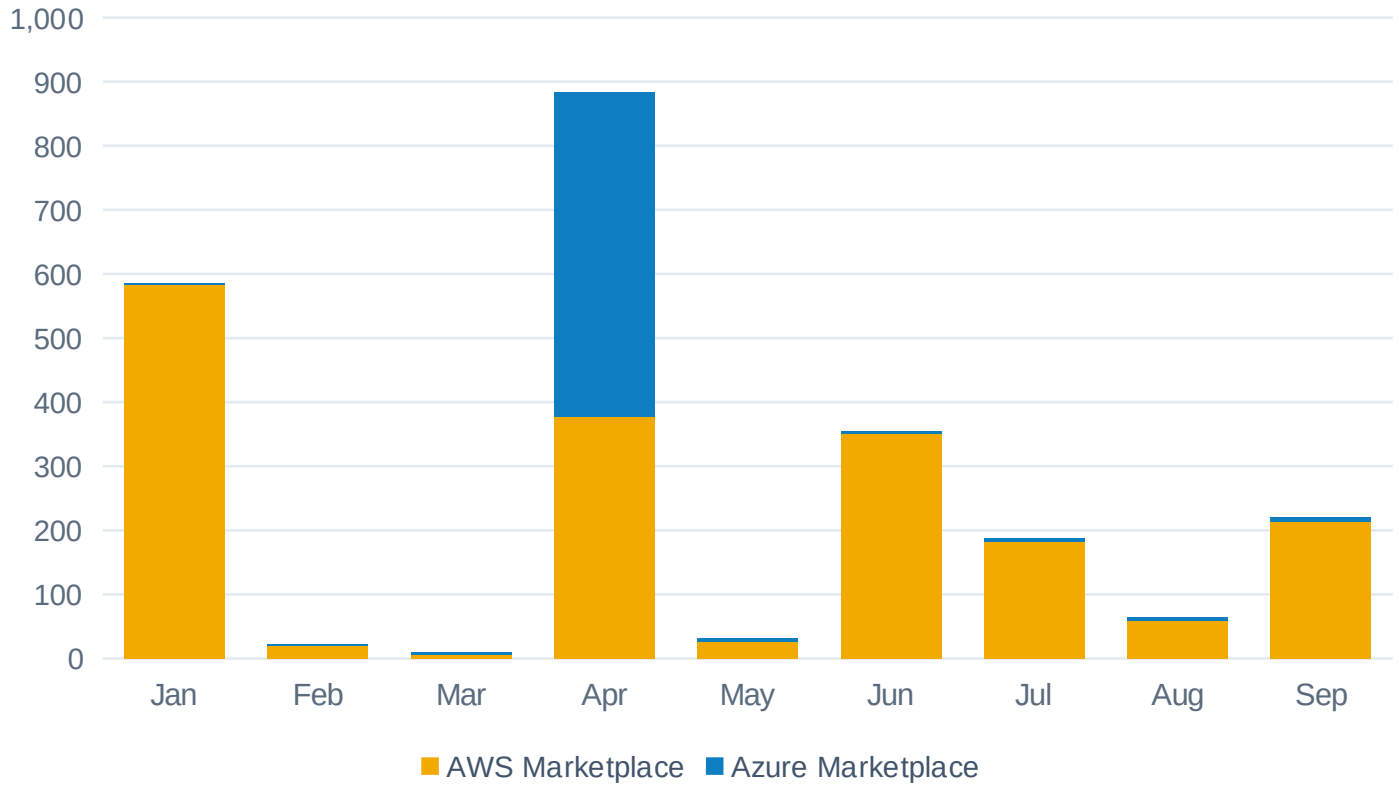
September run-rate × 12

AI services = Amazon Bedrock, Azure AI Foundry, Copilot Studio, Azure Cognitive Search, GitHub Copilot and GCP Vertex/Gemini.

COMMITTED PURCHASES

$2.36M sits in Marketplace contracts, billed in a few lumps

Marketplace & prepaid contracts by month ($K)



Largest contracts, year to date

Databricks P3 pre-purchase	$504K
Splunk	$365K
TrendAI security	$257K
MongoDB Atlas	$192K
CrowdStrike Falcon	$171K
F5 Distributed Cloud	$166K
JFrog (new, September)	$158K
Amazon Bedrock	$128K

Databricks alone is 21% of all committed spend

January and April carry the annual renewals; September is the new JFrog supply-chain contract.

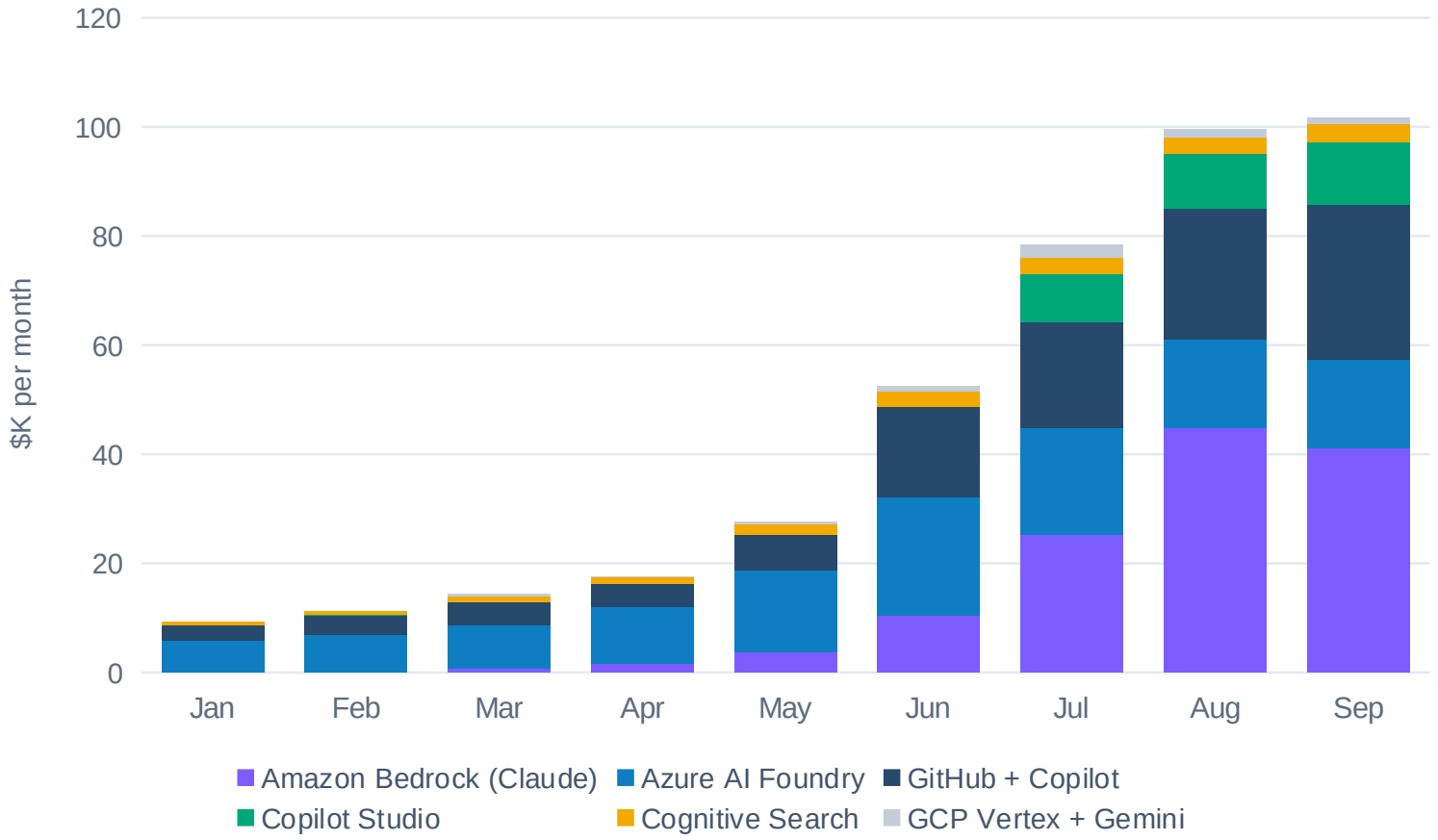
02

AI & the AI Factory

Amazon Bedrock, Azure AI Foundry, Copilot and the AI Factory programme — $412K year to date and the only line that is growing.

AI SPEND

AI grew 11× in nine months and is now a third of the cloud bill



AI SPEND, YTD

$412K

18% of all consumption

SEPTEMBER ALONE

$102K

vs $9K in January

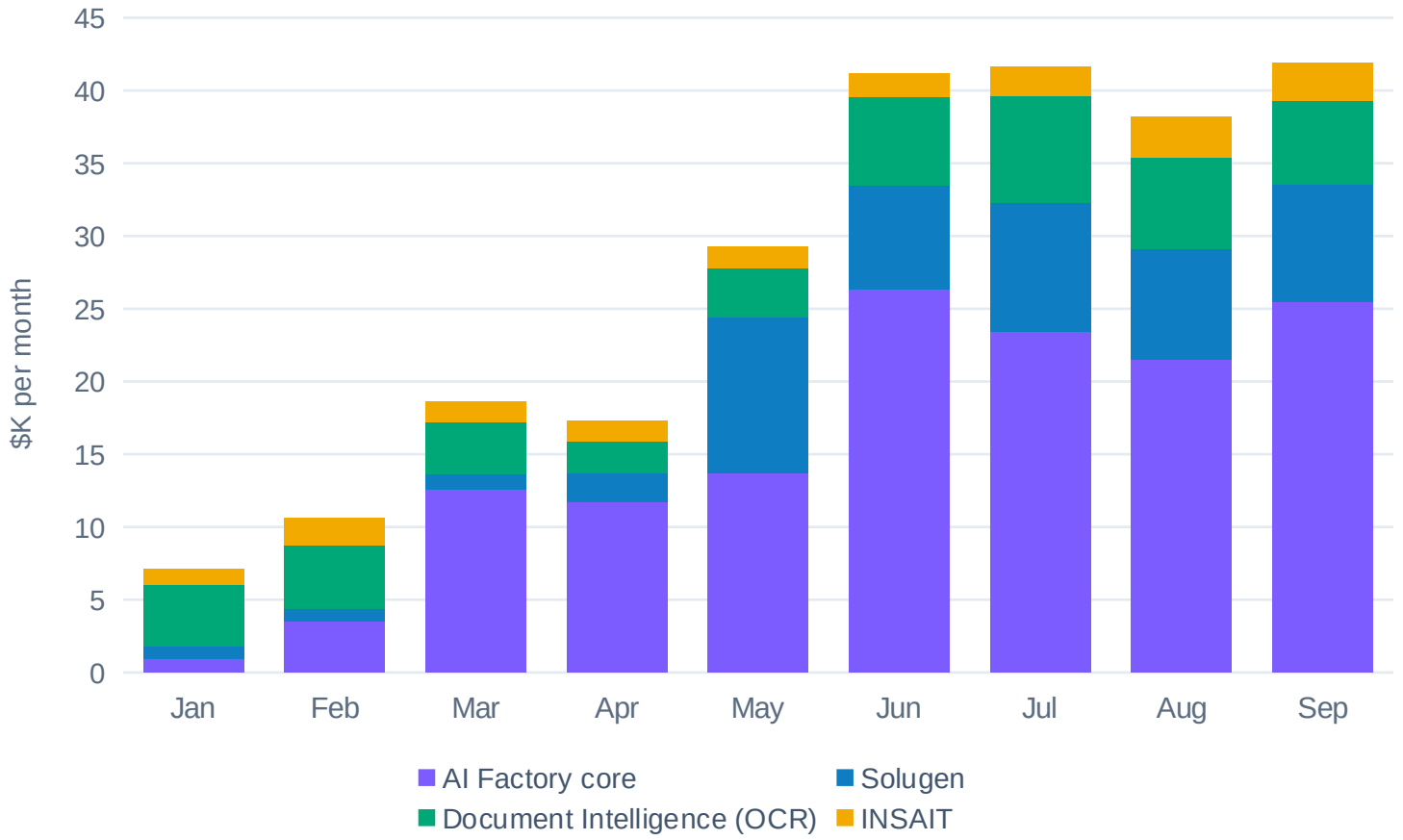
OF SEPTEMBER SPEND

34%

was AI services

Bedrock is billed through AWS Marketplace; Foundry, Copilot Studio, Cognitive Search and GitHub through Azure.

The AI Factory programme has consumed $246K across four projects



Year to date by project

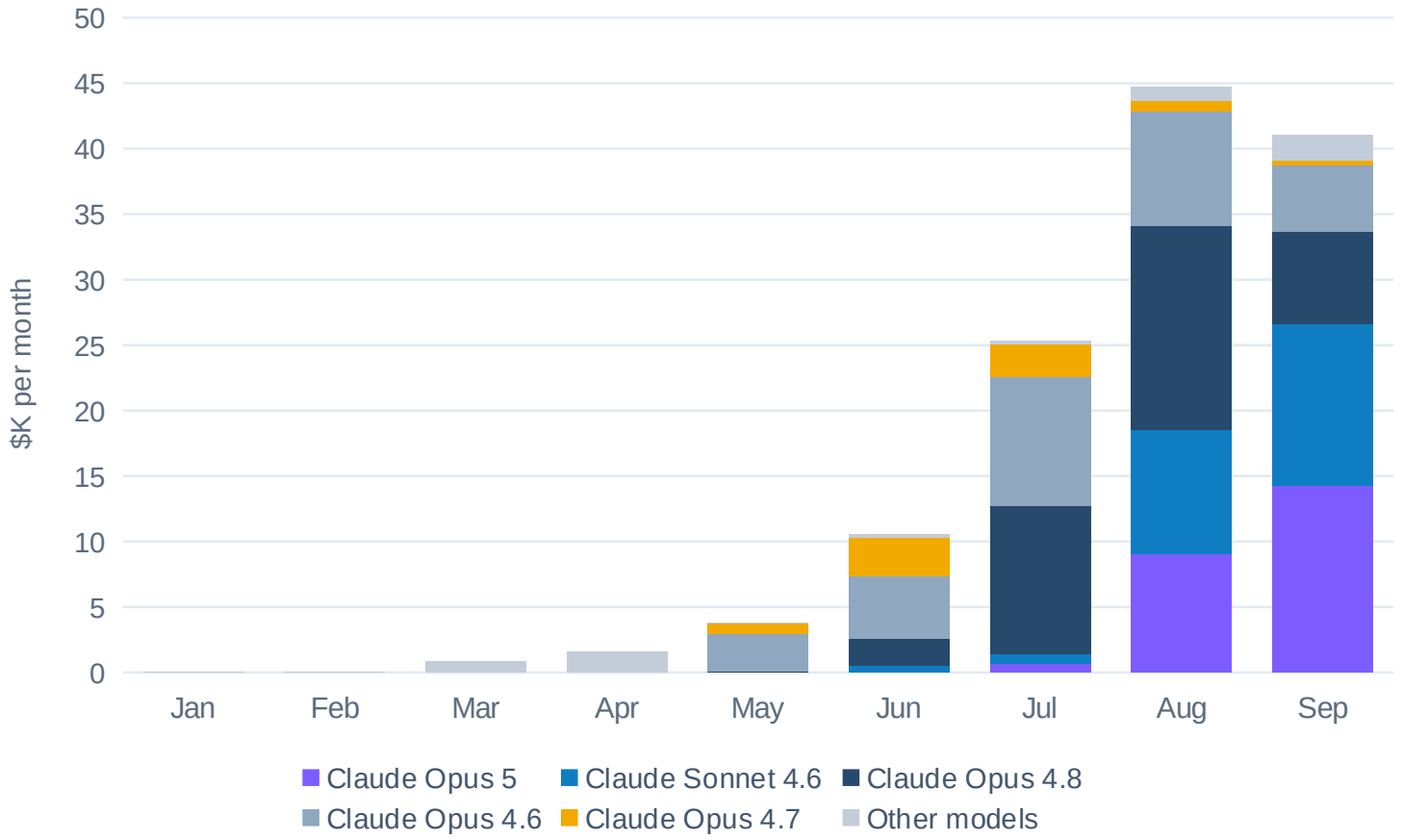
- AI Factory core — **$139K**
  57% of programme
- Solugen — **$47K**
  19% of programme
- Document Intelligence (OCR) — **$43K**
  18% of programme
- INSAIT — **$16K**
  7% of programme

$246K total programme spend

AI Factory spend spans several Azure cost centres; project view is the planning unit, cost centre is the billing unit.

AMAZON BEDROCK

Bedrock reached $41K in September, with newer models taking over



BEDROCK YTD

$128K

Billed via AWS Marketplace

ON LATEST MODELS

65%

Opus 5 + Sonnet 4.6, September

GROWTH SINCE MARCH

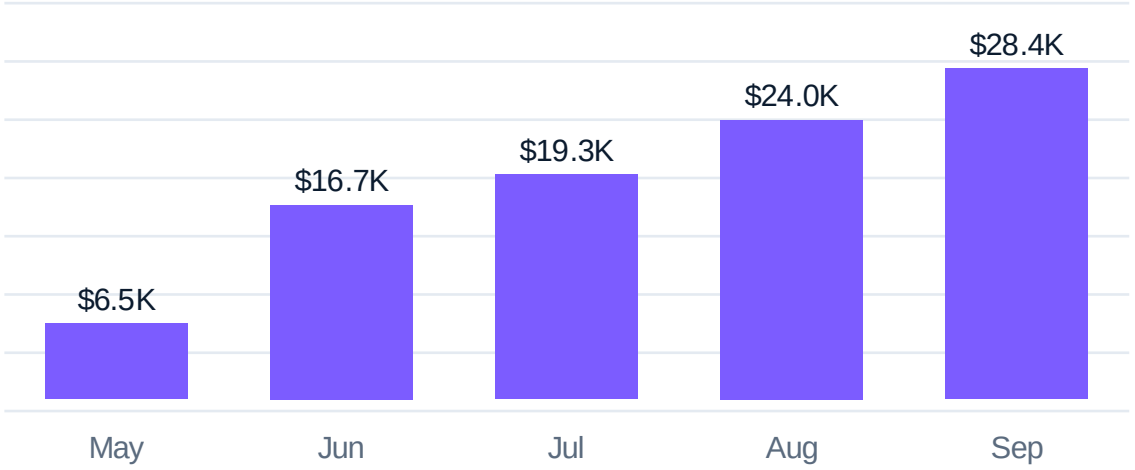
49×

$0.8K → $41.1K per month

Model mix is shifting to Opus 5 and Sonnet 4.6 — a routing and governance decision as much as a cost one.

GitHub is now $28K a month, and AI credit is the fast part

GitHub billed through Azure ($K per month)



AI credit budget — enterprise harel-ins

$2,960 spent of $4,000 · 74%

Hard stop enabled

Anatomy of the GitHub bill · June 2026 invoice

GitHub Enterprise ~170 licences	**$3,574**
Copilot Business ~160 licences	**$3,044**
AI credit (GAC) 214,924 credits · 217 active users	**$2,149**

Where the AI credit goes

Claude Opus 4.6 is 75% of all AI-credit consumption, and a single cost centre (HR) accounts for 73%. Model routing and a per-user quota of ~1,900 credits are the two levers.

Licensing is 75% of the GitHub bill and AI credit 25% — but the credit line is the one compounding.

Four controls to bring AI spend under the same discipline

1 Tag every AI service

Complete resource tagging by Service, Application, Cost Centre and Environment — including AI Gateway and AWS Bedrock / Claude CLI — so AI can be charged back like any other service.

In progress Owner: Ariel Oral

2 Budgets with a hard stop

The GitHub AI-credit budget already stops usage at its ceiling. Extend the same pattern to Azure AI Foundry and Amazon Bedrock before the FY2027 ramp.

Planned Owner: Cloud Infrastructure

3 Model routing policy

Opus-class models carry two thirds of both Bedrock and GitHub AI spend. Define which workloads justify a frontier model and route the rest to Sonnet or Haiku tiers.

Proposed Owner: AI Factory + FinOps

4 Per-user and per-project quotas

Publish a monthly credit allowance per developer (~1,900) and a project-level ceiling, with consumption visible to the owning cost centre.

Proposed Owner: AI Factory + FinOps

03



Amazon Web Services

$2.61M year to date — $792K of metered consumption and $1.82M of Marketplace contracts across two payer accounts.

AWS consumption is flat; Marketplace contracts move the total

CONSUMPTION YTD

$792K

$88K average per month

MARKETPLACE YTD

$1.82M

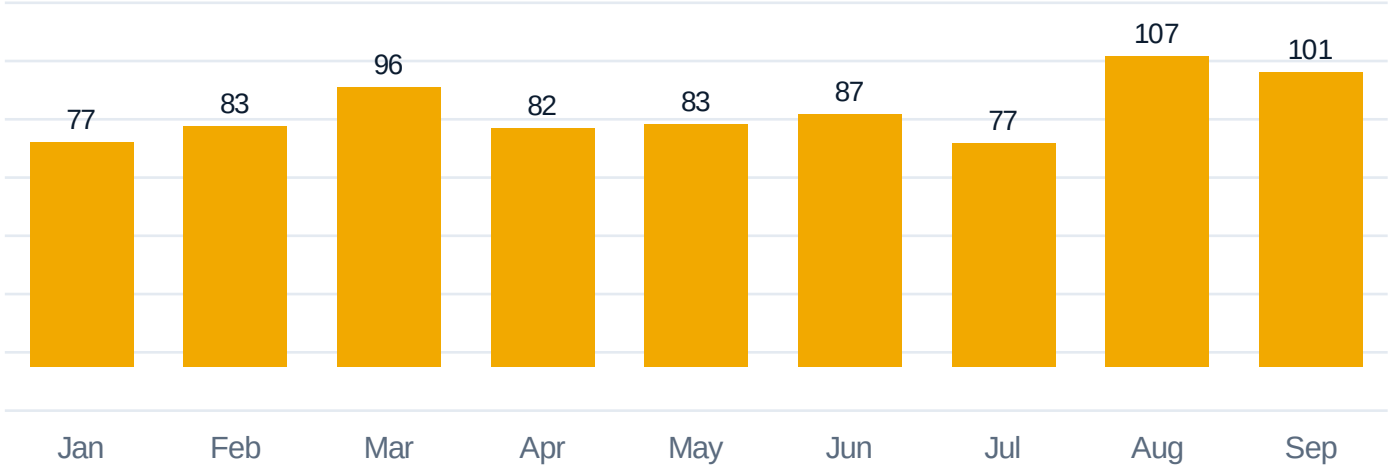
70% of the AWS total

IS THE DIGITAL PLATFORM

51%

prod + preProd + devTest

Monthly consumption ($K)

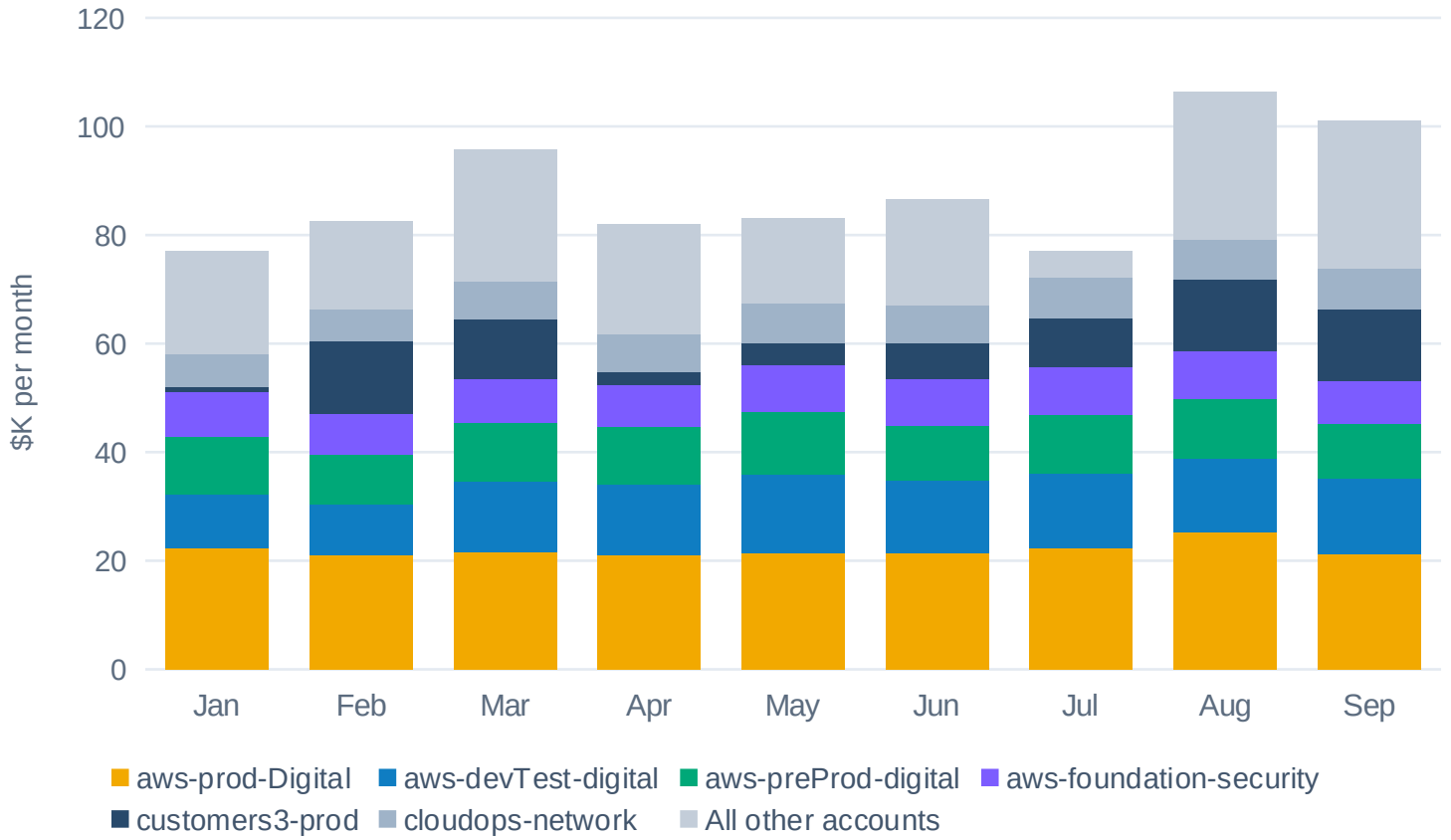


What moved

- **July dipped to $77K**
  A MAP contract credit of $15.3K landed on ai-factory-dev.
- **August peaked at $107K**
  Glacier Deep Archive and customers3-prod both stepped up.
- **September $101K**
  Steady; S3 archive growth continues.

Consumption excludes Marketplace. Charges span two payer accounts; the Harel IL payer is $166K of the total.

The Digital platform is half of all AWS consumption



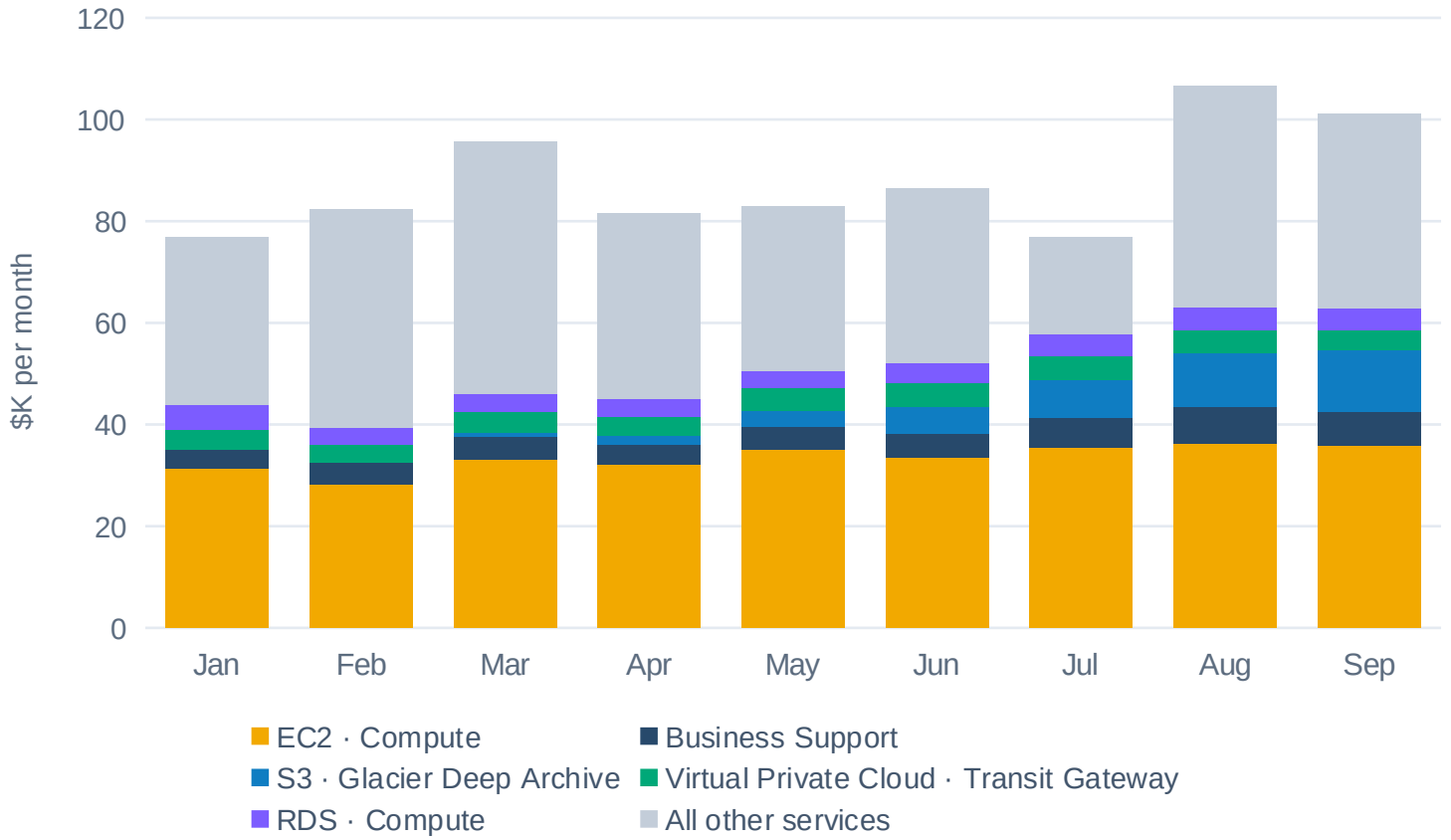
Year to date by account

aws-prod-Digital	**$198K**
aws-devTest-digital	**$114K**
aws-preProd-digital	**$95K**
foundation-security	**$74K**
customers3-prod	**$74K**
cloudops-network	**$62K**
Harel Insurance	**$59K**
foundation-shared	**$54K**

Top 3 Digital accounts = $407K

customers3-prod is the most volatile account — it swung between $0.9K and $13.5K a month.

EC2 compute is 38% of the AWS bill — and already 93% covered



Year to date by service

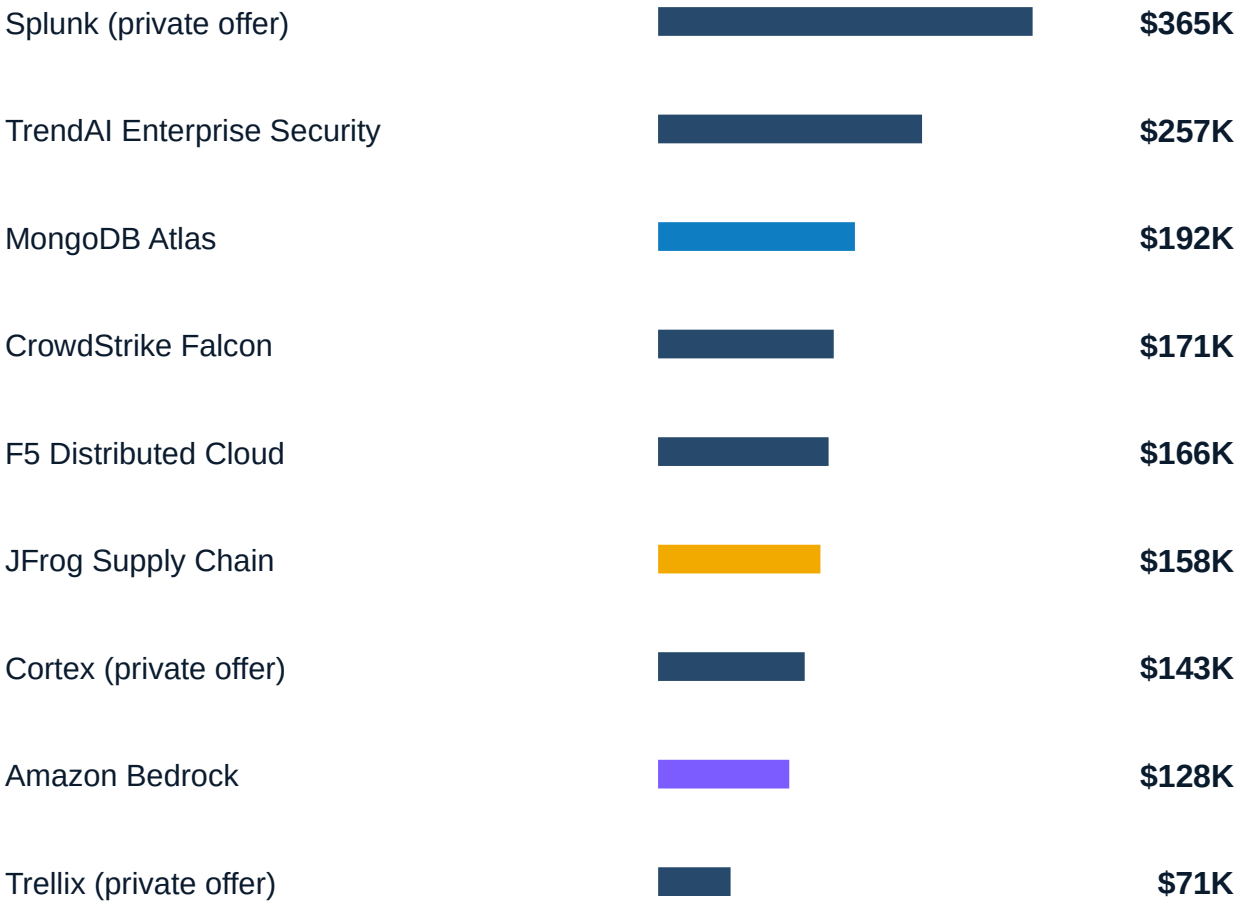
EC2 · Compute	$300K
Business Support	$46K
S3 · Glacier Archive	$41K
VPC · Transit Gateway	$38K
RDS · Compute	$36K
S3 · Storage	$34K
Direct Connect	$33K
CloudWatch Logs	$29K

S3 archive grew $0 → $12K a month

Glacier Deep Archive started in February and is now the third largest AWS service line — worth a retention review.

AWS MARKETPLACE

Nine vendors carry 91% of the $1.82M Marketplace spend



Marketplace charges are billed as contracts, mostly annual, so monthly comparison is not meaningful.

MARKETPLACE YTD

$1.82M

70% of total AWS spend

NEW IN SEPTEMBER

$158K

JFrog Software Supply Chain

IS SECURITY TOOLING

72%

Splunk, TrendAI, CrowdStrike, F5, Trellix, Cortex, Fortinet

04



Microsoft Azure

$2.05M year to date — the largest metered estate, growing every month since February, and the home of the Databricks commitment.

Azure has grown every month since February — up 26% on January

CONSUMPTION YTD

$1.51M

$167K average per month

SEPTEMBER

$198K

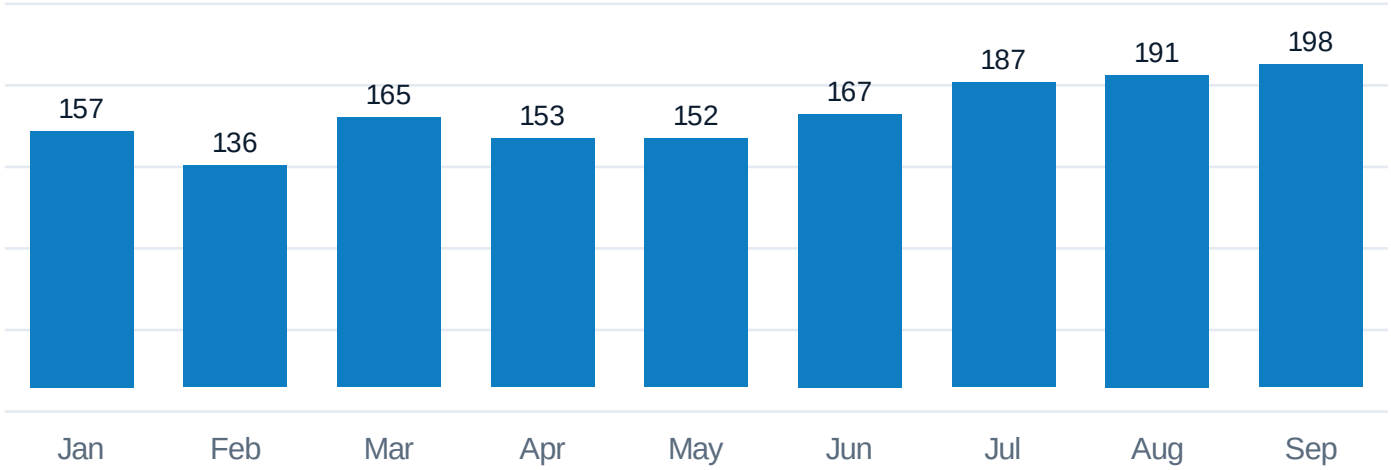
Highest month of the year

MARKETPLACE YTD

$542K

93% of it is Databricks

Monthly consumption ($K)

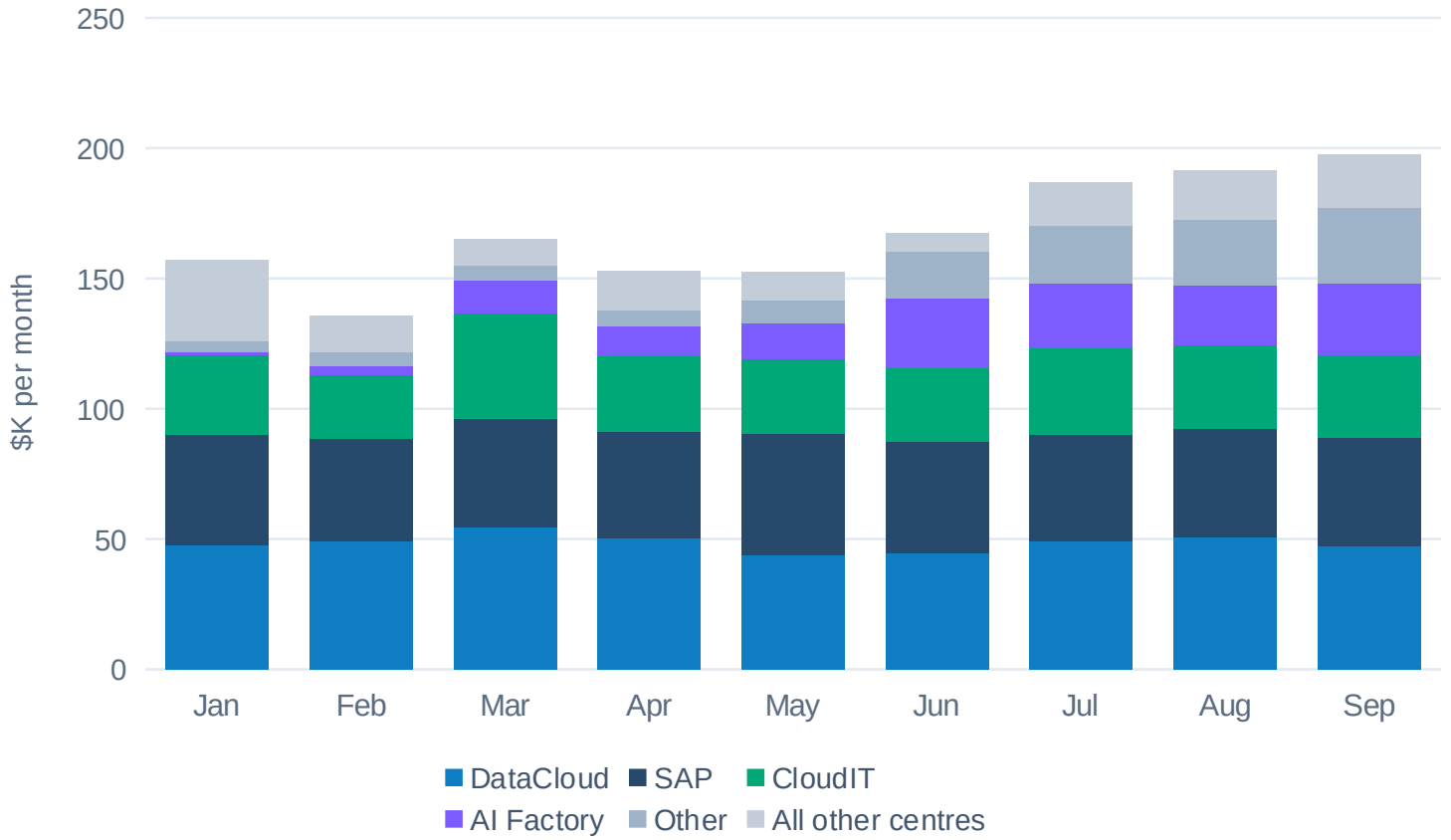


What is driving it

- **AI Factory**
  $0.9K → $27.4K a month. The single biggest change.
- **GitHub**
  $6.5K → $28.4K since May, licences and AI credit.
- **CloudOps**
  $0.3K → $11.3K from July — new workloads landed.

Consumption excludes Marketplace. The three classic cost centres — DataCloud, SAP and CloudIT — were flat to down.

Three cost centres hold 73% of Azure — AI Factory is the mover



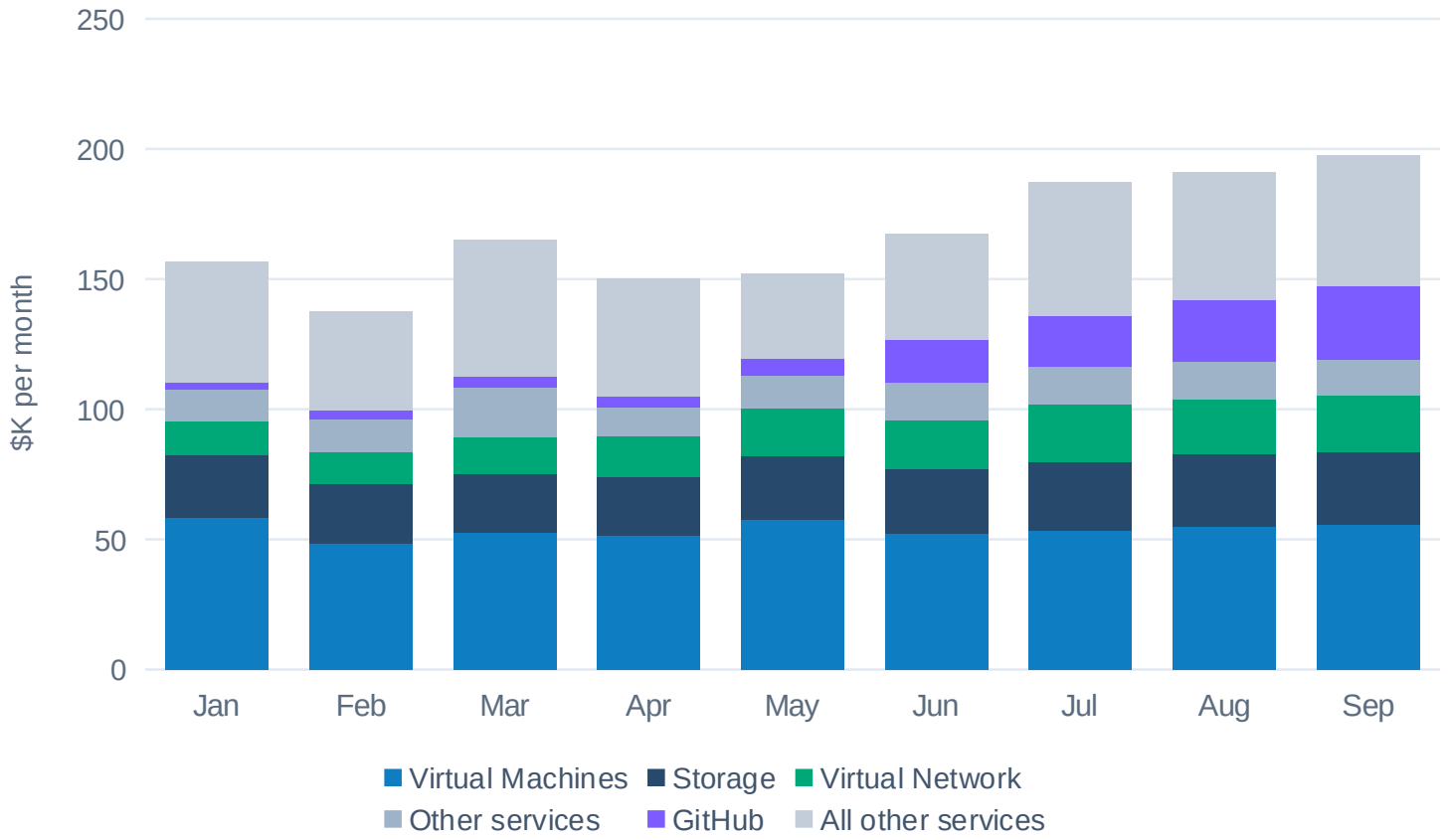
Year to date by cost centre

DataCloud	$437K
SAP	$377K
CloudIT	$280K
AI Factory	$144K
Other	$125K
Actuary	$49K
Risk Agility	$34K
CloudOps	$29K

AI Factory: $0.9K → $27.4K a month

DataCloud, SAP and CloudIT are stable; growth sits in AI Factory, CloudOps and the unallocated "other" bucket.

Core infrastructure is 57% of Azure — and that is the lever



Year to date by service

Virtual Machines	$484K
Storage	$224K
Virtual Network	$156K
Other services	$125K
GitHub	$110K
Databricks	$86K
Foundry Models	$76K
Foundry Tools	$44K

VMs alone are 32% of Azure spend

Virtual Machines, Storage and Virtual Network total $864K — the target for rightsizing, reservations and disk tiering.

AWS compute is 93% covered; Azure is only 54%

AWS — EC2 compute, September

Total $35,748



Spot	**$17,416**	49%
Compute Savings Plan	**$15,837**	44%
On-demand	**$2,495**	7%

93% of compute is on a discounted purchase option

Azure — virtual machines, September

Total $55,576



On-demand	**$25,606**	46%
Reservation	**$20,346**	37%
Compute Savings Plan	**$9,120**	16%
Spot	**$504**	1%

54% of compute is on a discounted purchase option

Closing the Azure gap is worth $47K a year in identified VM reservation purchases alone — see the savings pipeline.

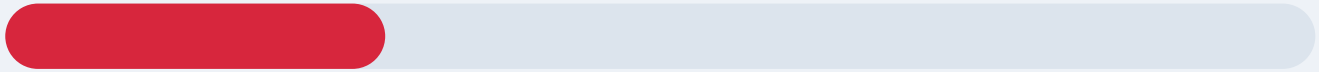
DATABRICKS COMMITMENT

The $504K commitment is 29% used after five of thirty-six months

Contract

Purchased	**28 April 2026**
Term	**3 years (P3Y)**
Product	**600,000 Databricks DBU hours**
Prepaid	**$504,000 via Azure Marketplace**

Cumulative utilisation at September 2026



29% of DBU hours consumed

14% of the term elapsed

DATABRICKS LINE COST

$0

All usage draws down the prepaid commitment

PROJECTED EXHAUSTION

Sep 2027

At the current burn rate — two years early

SUPPORTING INFRA / MONTH

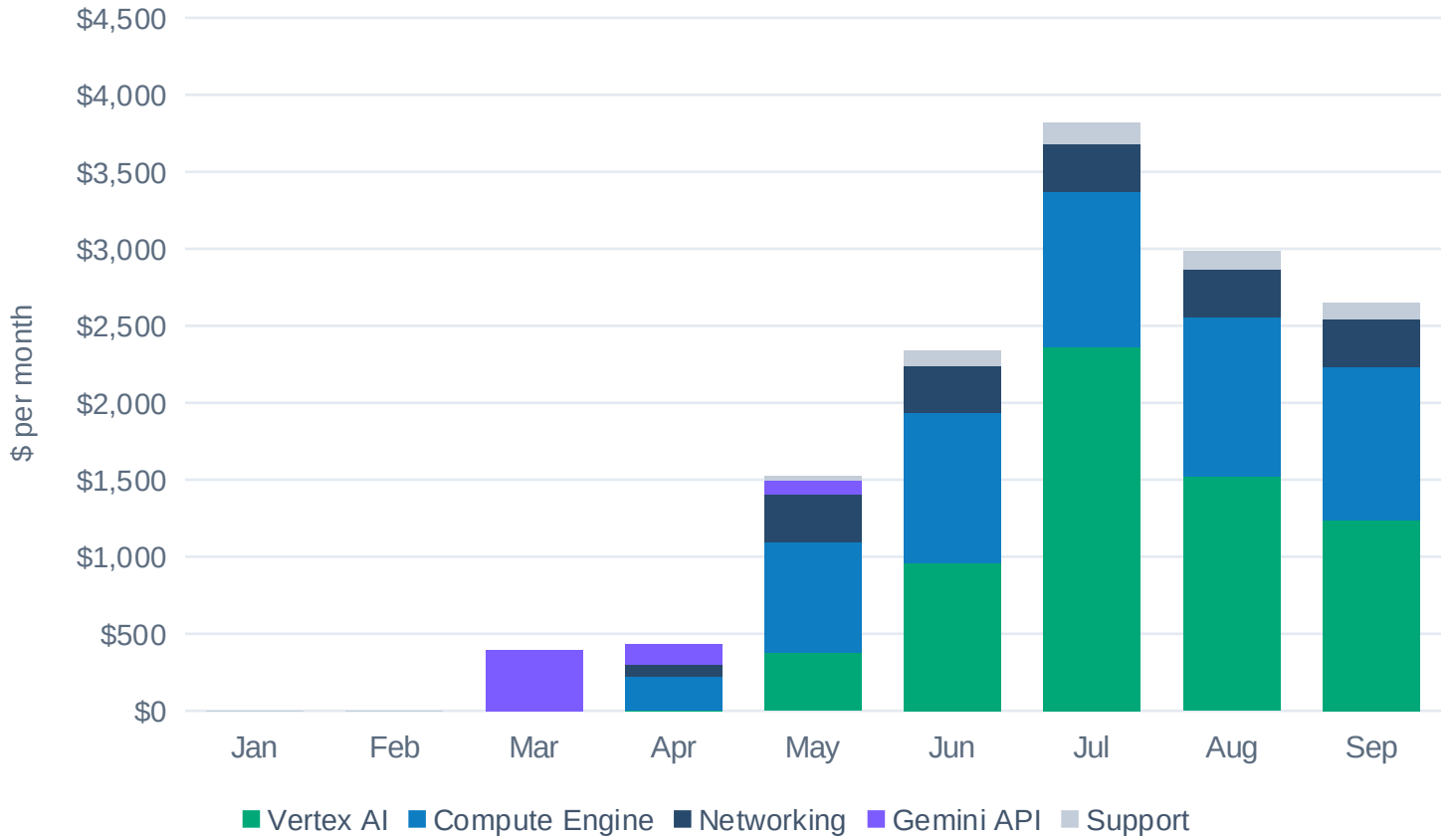
$21.5K

VMs, network and storage, outside the commitment

Decision needed: top up the commitment in FY2027, or optimise the Classic / Serverless mix to extend it.

GOOGLE CLOUD

GCP is a $14K pilot — small, but almost entirely AI



Google Cloud

GCP YTD

$13.5K

Started March 2026

IS VERTEX AI + GEMINI

52%

Vertex $6.5K, Gemini $0.6K

No commitment and no contract — GCP stays a pilot until a workload justifies a third platform. A negative "other services" line reflects credits applied during the pilot.

05

Savings delivered

$578K realised and avoided so far this year, with a further $190K identified and waiting on approval.

SCORECARD

The FinOps programme has returned $578K against FY2026

REALISED SAVINGS

$268K

Cost removed from the running bill

COST AVOIDED

$310K

Increases caught before they landed

TOTAL RETURNED

$578K

25% of YTD metered consumption

IDENTIFIED PIPELINE

$190K

Approved actions not yet implemented

WHERE IT CAME FROM

1 **Decommissioning**

Closing North Europe removed $70K a year of duplicated VMs, storage and gateways.

2 **Commitments**

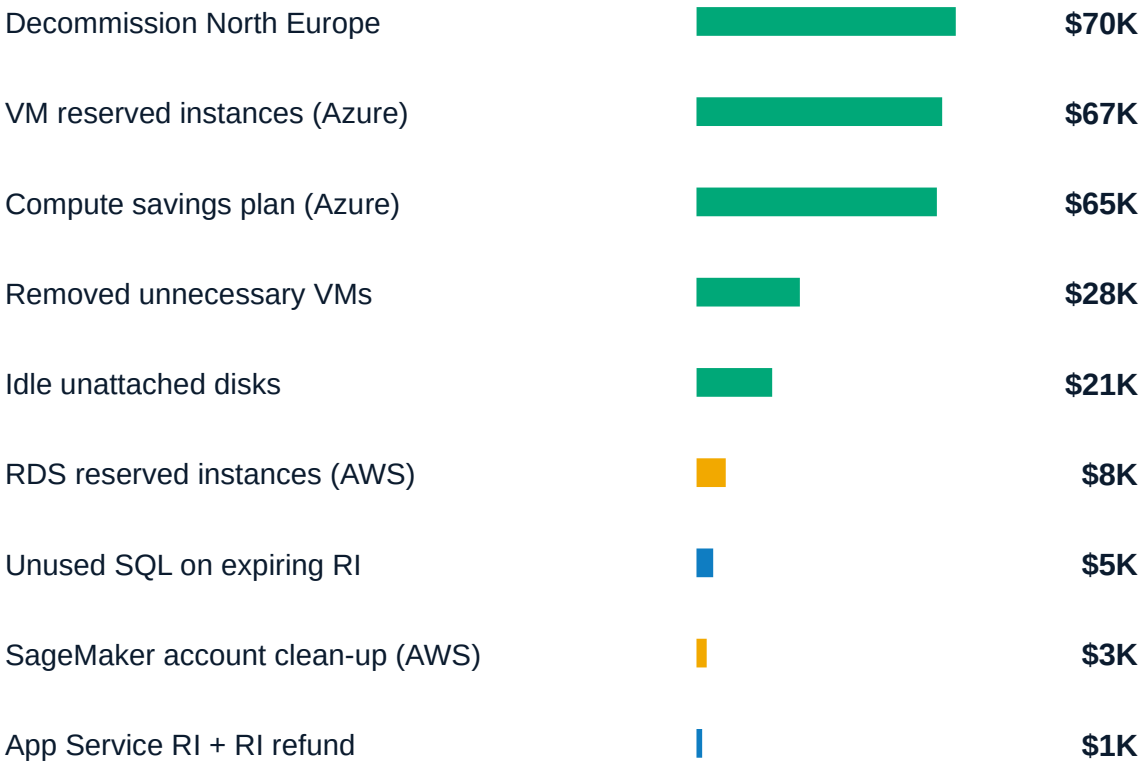
VM reservations and a compute savings plan together returned $132K a year.

3 **Alerting**

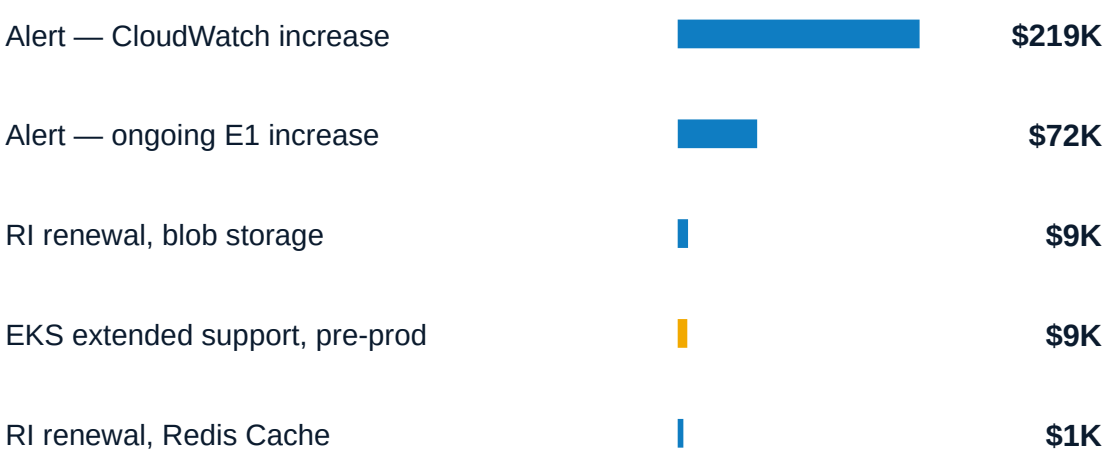
Two spend alerts caught $291K of increases before they became permanent.

Five actions produced 94% of the $268K realised

Realised savings · annualised



Cost avoided · annualised



Why avoidance counts

These are increases our monitoring caught and stopped. They never reached an invoice, so they do not show as a reduction — but the budget would have carried them.

All figures annualised. Realised $267,707 · avoided $309,973.

SAVINGS PIPELINE

$190K is identified and ready — 41% of it is reservations

By business unit

SAP	$80K
CloudIT	$35K
AI Factory	$34K
Data Cloud	$18K
Actuary	$8K
AWS (all accounts)	$7K
Azure Sandbox	$4K
CloudOps	$2K
ITSec	$1K

By type of action

VM reserved instances	$47K
VM rightsizing	$31K
PostgreSQL reservations	$21K
Premium → standard disks	$21K
Scheduled shutdown of 24/7 VMs	$25K
Idle reserved disks	$13K
AKS reservations	$10K
Idle unattached disks	$7K
Other (AWS EC2, SQL, Redis)	$15K

Reservations and savings plans are $78K of the $190K — a purchase decision, not engineering effort.

06

Risks & next steps

Three items that affect the FY2027 budget, the FinOps roadmap, and the decisions we are asking for today.

RISKS

Three things that will move the FY2027 budget

PRICING

Azure raises prices on 1 February 2027

Microsoft is expected to lift on-demand VM pricing for v1 and v2 series by about 25%, with further regional increases in West EU, North EU, France, Norway and Singapore.

Mitigation — reservations lock today's rate; buy the RI pipeline before February.

+$4,700

per month

+$56,400 a year

Estimated on September usage

COMMITMENT

The Databricks commitment burns out two years early

29% of the 600,000 prepaid DBU hours were consumed in the first five months of a thirty-six month term. At that rate the $504K commitment is exhausted around September 2027.

Decision — top up in FY2027, or rebalance Classic and Serverless to extend the term.

Sep 2027

projected exhaustion

$504K prepaid

29% consumed to date

AI RUN-RATE

AI spend has no ceiling yet

AI reached $102K in September and is still climbing. Only GitHub AI credit has a budget with a hard stop; Foundry and Bedrock have neither a cap nor a quota.

Mitigation — extend the GitHub budget pattern to Foundry and Bedrock.

$1.22M

annualised at Sep run-rate

11× since January

34% of all consumption

ROADMAP

The FinOps workplan for the next two quarters

	משימה	סטטוס	אחראי
1	**פרויקט חיסכון והתייעלות** מימוש תכנית Cloud FinOps — Rightsizing, Auto Shutdown ו-Reserved Instances	מתוכנן	אגף תשתיות
2	**הטמעת WIV.AI** פלטפורמת ממשל וניטור עלויות ושימושים, ללא עלות רישוי	מתוכנן	אריאל אוראל
3	**תיוג משאבים לפי שירות** השלמת תיוג לפי Service, Application, Cost Center ו-Environment לצורך Chargeback/Showback, כולל AI Gateway ו-AWS Bedrock	בתהליך	אריאל אוראל
4	**הטמעת AWS FinOps Agent** ניתוח עלויות אוטומטי, זיהוי המלצות חיסכון ואופטימיזציה של שירותי AWS	מתוכנן	אריאל
5	**אופטימיזציית Databricks Commitment** הגדלת ניצול חוזה ה-DBU, מעקב Utilization ואיזון Classic/Serverless	לקביעה	—

Owners and status as at the September 2026 FinOps review.

THE ASK

Three decisions we would like to close today

1

Approve the reservation purchase programme

$78K a year of identified reserved-instance and savings-plan purchases across SAP, CloudIT, AI Factory and Data Cloud. Buying before February 2027 also locks pricing ahead of the Azure increase.

Needs: capital approval · Owner: Cloud Infrastructure

2

Set an FY2027 envelope and controls for AI

Budget for roughly $1.3M of AI consumption, and attach the controls: hard-stop budgets on Foundry and Bedrock, a model-routing policy, and per-project quotas.

Needs: budget line + policy sign-off · Owner: AI Factory + FinOps

3

Choose the Databricks path before Q1

Either top up the DBU commitment in the FY2027 plan, or fund an optimisation sprint on the Classic / Serverless mix to stretch the existing contract.

Needs: a decision by December 2026 · Owner: Data Cloud + FinOps

Recommended by the Cloud Infrastructure, DevOps & Databases department for CIO decision.

Thank you

Questions, and the detailed cost-centre views, are in the appendix.



מחלקת תשתיות ענן, DevOps ובסיסי נתונים · אגף טכנולוגיות והגנת הסייבר

בשביל השקט הנפשי שלך

A

Appendix

Cost-centre and project detail, the North Europe decommission, and notes on how these figures were produced.

Every Azure cost centre, January to September

DataCloud $437K



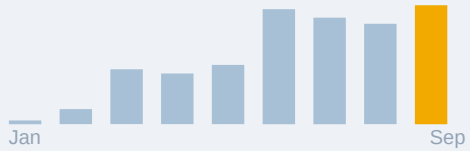
SAP $377K



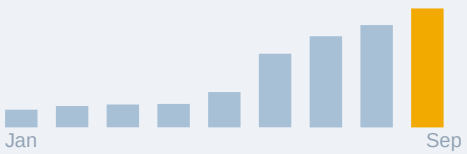
CloudIT $280K



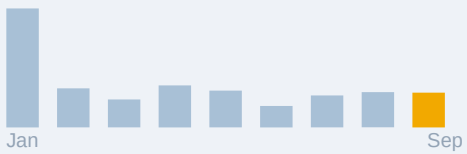
AI Factory $144K



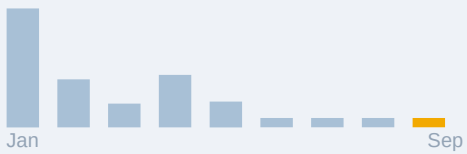
Other $125K



Actuary $49K



Risk Agility $34K



CloudOps $29K



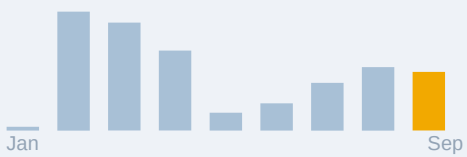
ITSec $19K



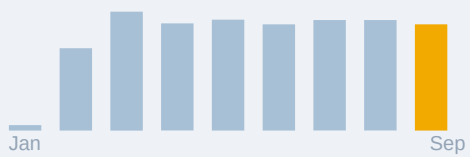
Basasach $7K



Investments $6K

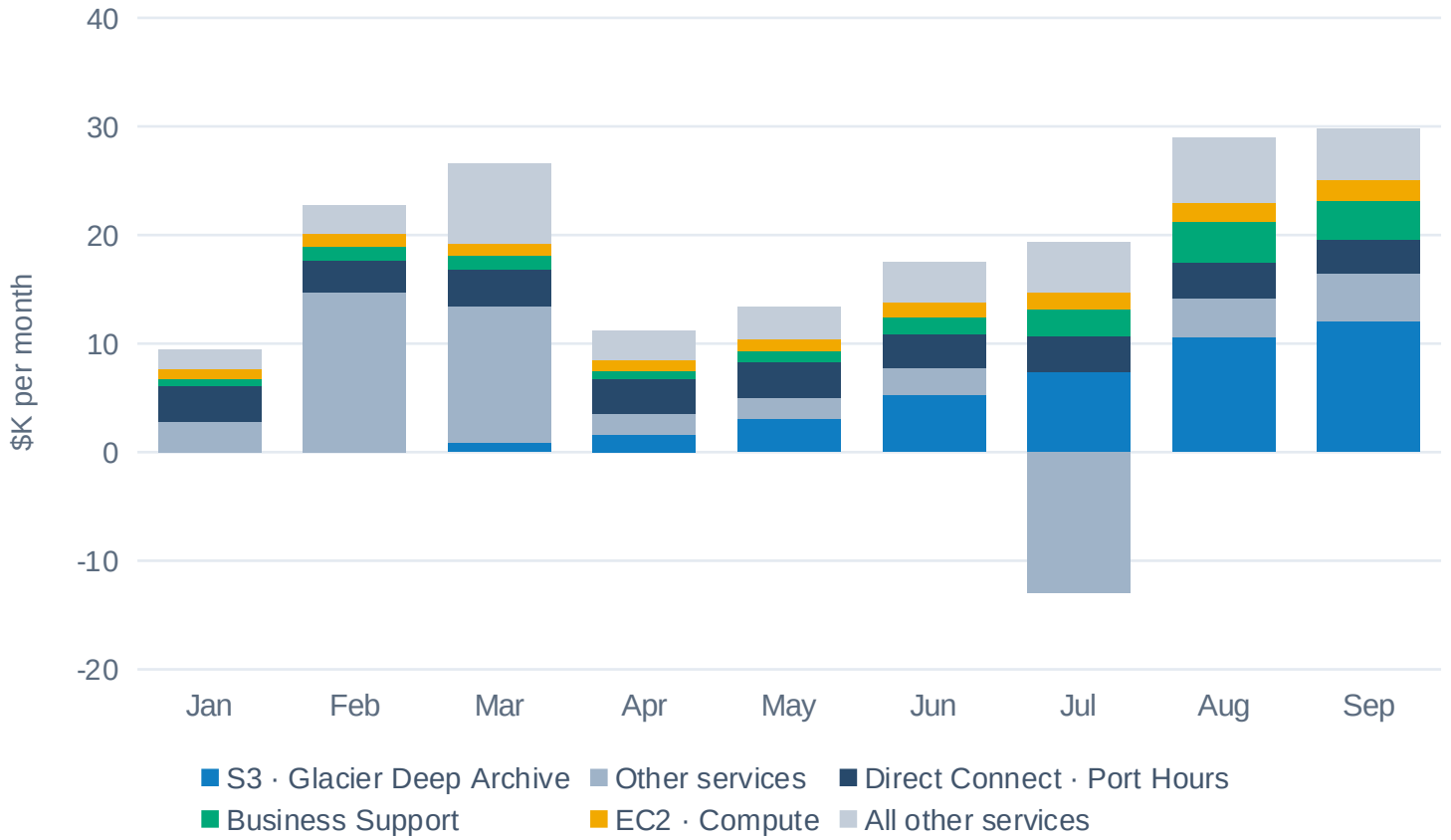


Integration $0.4K



Each sparkline is scaled to its own maximum; September is highlighted. Totals are year to date.

The second AWS payer account is $166K year to date



Year to date by service

S3 · Glacier Archive	**$41K**
Other services	**$31K**
Direct Connect	**$29K**
Business Support	**$16K**
EC2 · Compute	**$12K**
S3 · API	**$11K**
VPC Endpoints	**$8K**
Transit Gateway	**$5K**

Glacier Deep Archive is 25% of it

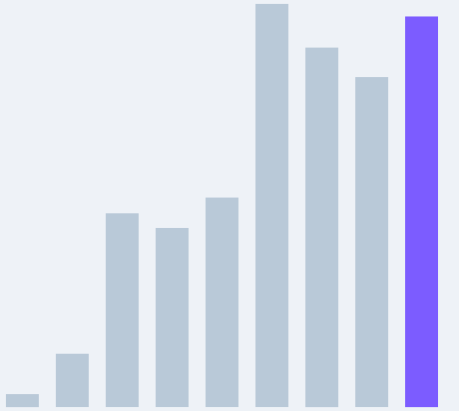
Included within the $792K AWS consumption total shown in the main deck.

Monthly profile of the four AI Factory projects

AI Factory core

$139K

year to date

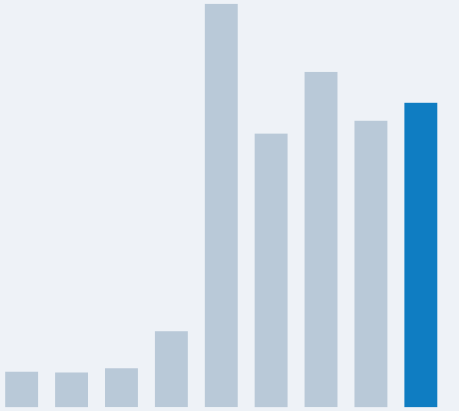


September $25K

Solugen

$47K

year to date

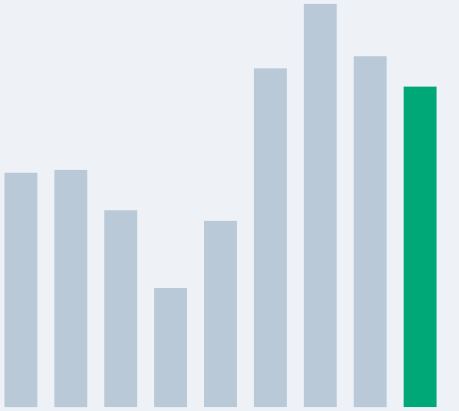


September $8K

Document Intelligence (OCR)

$43K

year to date

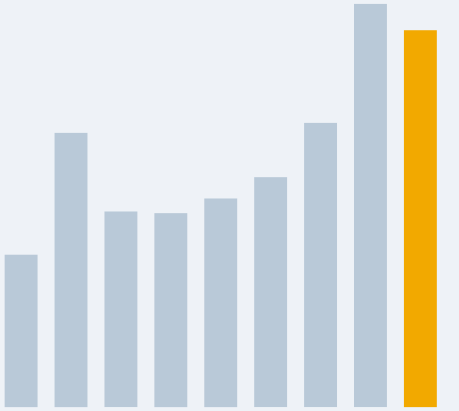


September $6K

INSAIT

$16K

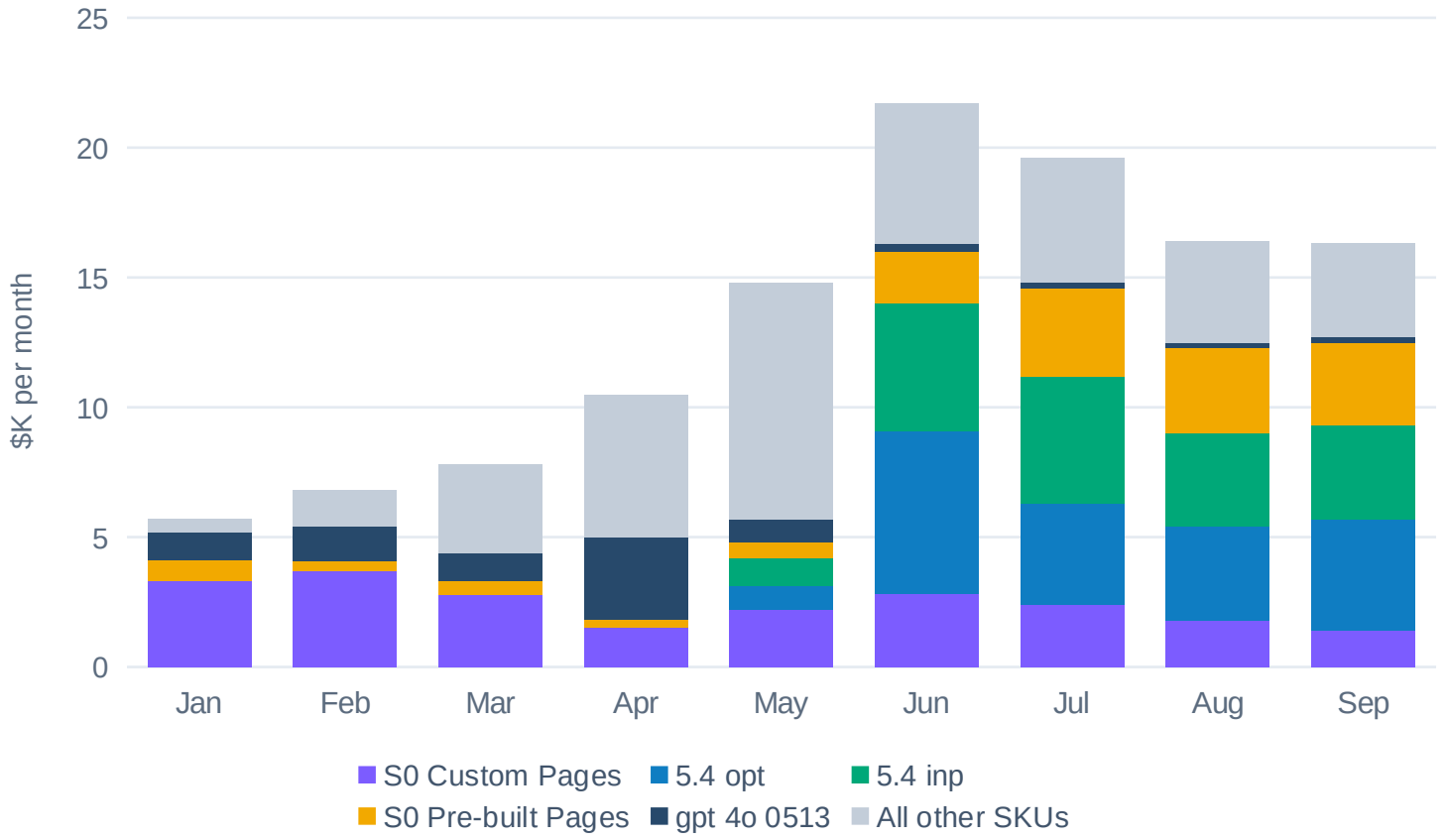
year to date



September $3K

Sparklines are scaled to each project's own maximum month. Programme total $246K year to date.

Foundry models and tools: $120K across 37 SKUs



Largest SKUs, year to date

S0 Custom Pages	**$22K**
5.4 opt	**$19K**
5.4 inp	**$18K**
S0 Pre-built Pages	**$15K**
gpt 4o 0513	**$8K**
gpt 4o 1120	**$7K**
GPT 5	**$7K**
GPT 5.1	**$5K**

Document-intelligence page SKUs (S0 Custom / Pre-built / Add-on) and the 5.4 model family dominate.

APPENDIX · NORTH EUROPE EXIT

Decommissioning North Europe removed $5,871 a month

Service	Prod	SAP Production	Shared Resources	Total
Virtual Machines	$154	$1,661	$550	**$2,365**
Storage	$7	$1,868	$109	**$1,984**
VPN Gateway	$930	—	—	**$930**
Azure Site Recovery	—	—	$200	**$200**
Azure DNS	$180	—	—	**$180**
Virtual Network	$18	$70	$3	**$91**
Bandwidth	$25	$3	$9	**$37**
NAT Gateway	$35	—	—	**$35**
Microsoft Defender for Cloud	$30	—	—	**$30**
Load Balancer	$19	—	—	**$19**
Automation	—	—	—	**—**
Monthly total	**$1,397**	**$3,601**	**$872**	**$5,871**

ANNUALISED

$70K

$5,871 × 12

The largest single realised saving of FY2026. Figures are the final month of North Europe consumption.

How these figures were produced

- **Period and currency**
  All figures cover 1 January – 30 September 2026 (nine months) and are stated in US dollars.

- **AWS payers**
  AWS is billed across two payer accounts. The Harel IL payer is $166K of the $792K consumption total.

- **Savings basis**
  Realised savings and cost avoidance are annualised run-rate impacts at the point of implementation, not year-to-date cash.

- **Sources**
  AWS Cost Explorer, Azure Cost Management, Google Cloud Billing and the GitHub billing portal, as extracted for the September 2026 review.

- **Consumption vs. committed**
  "Consumption" is metered usage. Marketplace and prepaid contracts are reported separately and are excluded from consumption totals unless stated.

- **Azure Marketplace**
  Marketplace charges sit under the Shared Resources subscription.

- **AI definition**
  AI services = Amazon Bedrock, Azure AI Foundry (models and tools), Microsoft Copilot Studio, Azure Cognitive Search, GitHub and Copilot, and GCP Vertex AI and Gemini.

- **Open reconciliation**
  Azure Marketplace sums to $542K here against $563K quoted in earlier reporting; the $21K difference is under review and does not affect the consumption figures.